

USA: Warsh Says FOMC's Job Is to Make Sure Price Spikes "Don't Broaden Out"

BOTTOM LINE: Chairman Kevin Warsh said that the FOMC has "no tolerance for persistently elevated inflation" in his opening remarks during his Congressional testimony today. Asked about the soft June CPI report, he said that "it's one data point" and he didn't "want to overread or cherry-pick data." He offered some hints about his view on responding to high inflation caused by supply shocks by saying that the FOMC's job "is to make sure that any short term changes in particular prices don't broaden out." Warsh also said that both the "size and duration" of the Fed's balance sheet are worthy of review.

MAIN POINTS:

1. Chairman Kevin Warsh said that the FOMC has "no tolerance for persistently elevated inflation" in his opening remarks during his Congressional testimony today. As in his previous remarks, he did not reveal his view on appropriate monetary policy and said little about his broader interpretation of the inflation data.
2. In response to a question about today's soft June CPI report, Warsh said that "it's one data point" and he didn't "want to overread or cherry-pick data."
3. Warsh offered some hints about his view on responding to high inflation caused by supply shocks. Asked whether interest rate increases could effectively offset the effects of tariffs or high oil prices on inflation, he acknowledged that those forces have an effect on prices and said "our business is whether those prices in the short term end up spreading out." Similarly, he said that the FOMC's job "is to make sure that any short-term changes in particular prices don't broaden out, don't change to a generalized change in the price level."
4. Warsh also clarified that he does not have a preferred measure of inflation, and in particular that the trimmed mean measure is not his preferred measure. He said that his "view is that we need new measures to understand the underlying changes in inflation. Am I interested in what's the mean or median price of a good at a big box retailer? You bet I am. And none of these measures capture that. I am super interested in finding new measures to do a better job."
5. Warsh was asked several questions about the Fed's balance sheet. He said he is "not of the mistaken view that we can go back to where we were when I arrived at the Fed in 2006," but that both the "size and duration" of the balance sheet are worthy of review. Asked about quantitative easing programs, he said "in periods of crisis when markets aren't clearing, I am willing to be quite aggressive in what the Fed does with its balance sheet... But when crises are over, monetary policy, in my view, should be driven almost exclusively by interest rate policy."

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